

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 26-05

WORLDLOG, LLC dba WCM WORLDWIDE,

COMPLAINANT,

v.

UNITED CARGO MANAGEMENT, INC.

RESPONDENTS.

**RESPONDENT’S MOTION TO DISMISS OR IN THE
ALTERNATIVE STAY PROCEEDINGS**

Pursuant to 46 C.F.R. §§ 502.69 and 502.70, Respondent United Cargo Management, Inc. (“Respondent” or “UCM”) hereby moves to dismiss the Complaint of Worldlog, LLC dba WCM Worldwide (“Complainant” or “Worldlog”) as it fails to allege facts sufficient to support the jurisdiction of the Federal Maritime Commission (the “Commission”) over the claims, and fails to allege facts sufficient to establish a claim under 46 U.S.C. §§ 41102(d), 41103, 41104(a)(4)(E), and 46 C.F.R. § 515.31(e). Alternatively, in the event the Complaint is not dismissed in its entirety, UCM hereby also moves to stay the proceeding pending rulings in two federal court actions related to the same shipments and same nexus of facts presently pending in the U.S. District Court for South Carolina.

INTRODUCTION

In this proceeding, Worldlog seeks reparations and equitable relief with respect to various shipments with which Worldlog alleges UCM interfered by invoicing customers for payment or refusing to release holds on shipments. Worldlog and its owner, Carlton Blair III (“Blair”) appear to be living in an alternative reality in which they ignore the plain language of agreements with customers, master bills of lading, and the licenses at issue. Worldlog and Blair have it exactly backwards. It does not take more than a cursory review of the customer agreements and bills of lading at issue to recognize that these were UCM, and not Worldlog, customers and relationships. Worldlog does not appear anywhere on the agreements, yet they sought to collect on UCM-negotiated agreements and control the cargo under those agreements. Since they were all UCM customer agreements, it is not surprising that UCM sought to bill and collect on those agreements. Perhaps this is why Worldlog does not attach a single agreement to its complaint. As admitted by the Complaint, the customer relationships were all with UCM and the cargo was shipped under UCM’s license. It is Worldlog that should be sanctioned for interfering with UCM’s relationships and misrepresenting itself to UCM’s customers in an effort to steal customers and cargo that never belonged to Worldlog.

Each of Worldlog’s claims fail and should be dismissed for the following reasons:

- Worldlog lacks standing to assert any claim against UCM under the Shipping Act under the “direct purchaser” rule because it has not been billed by UCM or paid to UCM any charges. As such, Worldlog has no standing to bring its reparation claims for lost profits, diminished reputation or attorney fees.
- The Complaint fails to state a claim under Section 41103 because Worldlog does not allege any facts to establish that Worldlog was a “shipper or consignee” of any of the property or cargo at issue. To the contrary, the Complaint admits that all customer

agreements during the relevant period were entered into on behalf of UCM, and under UCM's NVOCC license.

- The Complaint fails to state a claim for retaliatory conduct under Section 41102(d) because the Complaint does not allege any retaliatory conduct directed at Worldlog. Instead, the Complaint only alleges conduct directed towards purported customers. As above, there were no Worldlog customers, but even if there were, it would only give rise to claims brought by those customers.
- Similarly, the Complaint fails to state a claim for discriminatory practices under Section 41104(a)(4)(E) because the Complaint sets forth only vague, conclusory allegations that UCM withheld release of shipments of an undisclosed shipper and sought payment of its invoices. It neither alleges any "practice" as required by the statute and Commission precedents, nor any claims adjusted or settled, either wrongfully or otherwise.¹ It does not allege any wrongful conduct towards Worldlog.
- Additionally, Worldlog purports to base a portion of its Shipping Act complaint on UCM's exercise of its right to bring suit in federal court (Complaint, Doc. No. 1, ¶ 41), in violation of the litigation privilege under Cal. Civ. Code § 47(b), and the *Noerr-Pennington* doctrine. See, e.g., *Sosa v. DIRECTV, Inc.*, 437 F.3d 923, 934-

¹ *Josh Anyaosah v. Nidsan Shipping, Inc.*, Dkt. No. 2031(I), 2026 WL 254007 (ALJ, Jan. 20, 2026) (applying the same requirement of a "practice" in the context of § 41104(a)(4) as under § 41102(c), and noting that "historically, a violation of § 41102(c) (and its predecessor statute) requires a showing that, ". . . the unreasonable regulation or practice was the normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which the regulated common carrier was conducting business." (*Id.*) (citations omitted). In short, § 41102(c) does not create a remedy for a one-time unreasonable act. To state a claim under § 41102(c), the act at issue must occur on a normal, customary and continuous basis. (46 U.S.C. § 41102(c); see also *Crocus Investments, LLC v. Marine Trans. Logistics, Inc.*, Dkt. No. 15-04, 2021 WL 3732849, at *8 (FMC Aug. 18, 2021)).")

35 (9th Cir. 2006)

- Finally, the Complaint fails to state a claim under 46 C.F.R. § 515.31(e) because it fails to allege a violation of the Shipping Act or of a Commission order under 46 U.S.C. § 42104. Further, the Complaint contains no specific allegations of false or fraudulent statements (knowingly or unknowingly) made by UCM; in particular, none regarding any ocean transportation intermediary transaction. Additionally, the Complaint does not allege any facts that support its claim that UCM is in violation of the rules regarding registration of branch offices or trade names, or how that would even impact Worldlog.

In summary, Worldlog has attempted to restate common law claims similar to those it has raised in federal court as Shipping Act violations; an action that is prohibited by the recent U.S. Supreme Court decision in *Sec. & Exch. Comm'n v. Jarkesy*, 144 S. Ct. 2117, 2131 (2024), where the Court held that the “Constitution prohibits Congress from withdrawing from judicial cognizance any matter which, from its nature, is the subject of a suit at the common law.”

Worldlog is unable to allege specific facts to support its claims because the shipments at issue were under bills of lading with UCM, not Worldlog. Worldlog interfered with UCM’s customer shipments and not the other way around. The allegations in the Complaint are at the core of pending federal court actions in the U.S. District Court for South Carolina, in which UCM has sued Worldlog for violations of the Lanham Act and theft of trade secrets, among other claims. Through the efforts of Worldlog’s owner, Carlton Blair III, a former employee of UCM and branch manager of UCM’s Charleston, South Carolina office, Worldlog attempted to deceive UCM’s customers and steal UCM’s customers and property. Indeed, Worldlog sent emails claiming to be UCM to UCM customers and instructed those customers to wire payments owed to UCM to Worldlog-controlled bank accounts.

UCM has submitted extensive documentation and declaratory evidence in the federal court actions demonstrating Worldlog’s fraudulent and deceptive efforts, and addressing the false factual predicate which underpins Worldlog’s allegations here—namely, whether the affected shippers were customers of UCM or Worldlog. These questions are at the heart of the pending federal court actions and will be decided in the U.S. District Court for South Carolina.

The Commission should dismiss Worldlog’s Complaint for failure to state a claim on all counts. Alternatively, in light of the active litigation in South Carolina and the factual basis upon which Worldlog has brought its claims before the Commission, the Commission should stay these proceedings pending resolution of the same issues raised in federal court.

RELEVANT FACTUAL AND PROCEDURAL BACKGROUND

A. Factual Background

Worldlog’s owner, Blair, worked for UCM as an employee for over 16 years as the manager and supervisor of UCM’s Charleston office. (Declaration of Jeff Lee (“Lee Decl.”), ¶ 2.) UCM management, including UCM’s President Thomas Lee, allowed Blair a great deal of autonomy in running the Charleston office, but he was still a UCM employee. (*Id.*, ¶ 3.) Thus, while Blair engaged in such actions as negotiating shipping agreements with customers and hiring and firing employees, he did so on behalf of UCM and under UCM’s NVOCC license. (*Id.*; Complaint, ¶ 9.) UCM, not Worldlog, is the licensed NVOCC on all of the bills of lading for those shipments. (*Id.*, ¶ 3.) Additionally, as Worldlog admits, UCM covered “100% of all operational costs, including salaries, payroll taxes, benefits, rent, and all other expenses.” (*Id.*, Complaint, ¶ 10.) Worldlog did not obtain its own NVOCC license until March 12, 2025 (Complaint, ¶ 8, fn. 1), thus Worldlog could not possibly have operated as a freight forwarder independent from UCM or have had any of its own customers prior to that date.

Noticeably absent from Worldlog's Complaint are any actual customer contracts or bills of lading, or any specific allegations regarding customer agreements with Worldlog. Worldlog did not attach these materials because either they do not exist, or the agreements show exactly the opposite of what Worldlog is contending. Consistent with Blair's role as an employee of UCM, the customer agreements at issue were all with UCM. (*Id.*, ¶ 3.)

In December 2023, Blair sought to be promoted to CEO of UCM as Mr. Thomas Lee was considering a less active role in the company. Blair drafted a series of "agreements" and presented them to Mr. Thomas Lee. These included a draft employment agreement that Blair prepared and signed. (*Id.*, ¶ 5, Ex. 1.) The employment agreement set forth the relationships of the parties. Blair identified himself as "employed" by UCM and "responsible for the operations and results of the CHS office." Blair's draft employment agreement also stated that Worldlog was providing services to UCM, not the other way around. (*Id.*) When Mr. Lee did not agree to Blair's draft employment agreement, Blair prepared a "Separation Agreement" in March 2025 with various self-serving terms that would have effectively transferred UCM's Charleston Branch to Blair for free. (*Id.*, ¶ 6, Ex. 2.) Obviously, UCM did not agree to the Separation Agreement prepared by Blair. (*Id.*, ¶ 6; Complaint, ¶¶ 17-18, 20.)

Unable to get Mr. Lee to sign the draft Separation Agreement giving him UCM's Charleston branch, Blair initiated his scheme to steal it. This included using UCM's name, customer contacts, and customer files to deceive UCM customers and have them shift their payment information to bank accounts controlled only by Blair and Worldlog. (*Id.*, ¶ 7.) To secure customers and needed contracts, Worldlog misrepresented itself as a continuation of UCM or affiliated with UCM when it was not. (*Id.*).

Specifically, on approximately April 12, 2025, Nicolette Berrouette, UCM's Import Customer Service Manager, emailed UCM's agent partners with an email announcing a new website, change of address, and updated employee emails at the non-UCM server. The update was described as "some exciting news about UCM!" Berrouette's April 12, 2025 email prompted customers to execute a new Agency Agreement and direct payments for UCM to a new bank account controlled only by Blair and Worldlog, but which was falsely described as "UCM Banking details". An image of relevant portions of the email is below:

From: Nicolette Berrouet (UCM/CHS) <nicolette.b@ucmchs.com>
Sent: Saturday, 12 April 2025 3:35 am
To: [REDACTED]
Subject: UCM Important Announcement- Agent Partners

Dear Agent Partners.

We have some **exciting news** about **UCM**! Attached you will find:

1. **UCM ANNOUNCEMENT**
2. **UCM Contact List**
3. **UCM Agency Agreement**
4. **MBL instructions**
5. **UCM Banking details**

In order for our growth and support for our customers' needs, this change, and our partnership with you, puts us in a position to fully achieve that goal.

We are grateful for your support and execution which delivers on **our promise of service excellence for our customers.**

Pls take note of the changes and information so we can work in a seamless manner.

These changes are Effective May 1, 2025.

USA Exports sailing on or after May 1, 2025, USA Imports arriving on or after May 1, 2025.

If you have any questions, please do not hesitate to reach out to us.

ACTION:

Please fill out the **AGENCY AGREEMENT** and return to Hank Harden (Hank.H@ucmchs.com).

We will be in touch with specific details on effected shipments and more information about this transition.

We will be in touch with your financial team to ensure the debits and credits for specific shipments are handled correctly.

SOA inquiries will be handled by Venera Fazilova (Venera.F@ucmchs.com).

We value your partnership,

UCM team

Nicolette Berrouët
Customer Service Manager
Project Manager
United Cargo Management

126 Seven Farms Drive Ste 260
Charleston, SC 29492
O: (843) 856-1833
D: (843) 932-9209
C: (843) 324-1427
nicolette.b@ucmchs.com



The email also included a link to several documents, including one titled “UCM ANNOUNCEMENT”, which included a large UCM header at the top and the language “IMPORTANT CHANGES FOR YOUR IMMEDIATE ATTENTION” highlighted in bold at the top of the page:

We're writing to let you know about some important changes to where you find us and how you reach us.

As we have continued to grow, our office didn't, so we recently packed up our old space and moved into a beautiful new location that gives us more room to get work done for you. Whether you're planning to pay us a visit or send us some regular mail, **please be sure to make note of our new address:**

United Cargo Management
126 Seven Farms Drive
Suite 260
Charleston, SC 29492

We have also made some enhancements to our online presence so our email information now aligns with our newly refreshed website. As before, we can still be found at www.ucmchs.com and now each of our email addresses reflect that same domain. Same staff, same responsiveness, same customer service, same operations, just a slight change to reflect continuity between our site and our mailboxes.

The “UCM ANNOUNCEMENT” document directed customers to the www.ucmchs.com website and new office address:

The email and linked documents indicated that completing the new agency agreement and directing payments to the “new” bank account was necessary to continue doing business with UCM. Below is an example of language from the “UCM ANNOUNCEMENT” document and email body stating the changes were necessary:

Some of these changes will necessitate changes to our paperwork with you. You will find those attached herein, so please be sure to review and return as indicated.

ACTION:

Please fill out the AGENCY AGREEMENT and return to Hank Harden (Hank.H@ucmchs.com).

- **We will be in touch with specific details on effected shipments and more information about this transition.**
- **We will be in touch with your financial team to ensure the debits and credits for specific shipments are handled correctly.**

At no point in any of these communications were recipients made aware that they were actually being requested to transfer their business away from UCM, to a company called Worldlog controlled by Blair. The title “UCM” and the words “United Cargo Management” were used throughout, with no mention whatsoever of Worldlog anywhere in the communications. (*Id.*, ¶ 8.)

Worldlog also took UCM’s trade secrets and confidential customer information by locking UCM management out of the Charleston computer systems so UCM could no longer track shipments or payments that were booked out of the Charleston office. (*Id.*, ¶ 9.) Worldlog did the same thing with UCM’s email systems. Worldlog commandeered incoming and outgoing emails that were intended for UCM and UCM employees in order to intercept customer emails intended for UCM,

without UCM’s knowledge, and instruct the customers to shift their payments and related business to Worldlog. (*Id.*)

To give just one example of Worldlog’s and Blair’s interference with UCM customer shipments, on March 12, 2025, UCM booked a shipment with its customer Ocean Network Express (“ONE”) for a shipment of cargo from Thailand to Houston, Texas. (*Id.*, ¶ 10.) The shipment departed Thailand on March 27, 2025, with UCM listed as the Consignee and Notify Party on the Master Bill of Lading. (*Id.*, Ex. 4.) The shipment arrived in Houston, Texas on May 21, 2025, with UCM still listed as the Consignee and Notify Party on the Arrival Notice. (*Id.*, Ex. 5.) However, by May 21, 2025, certain former UCM employees who had negotiated this shipment while employed with UCM had left UCM and begun employment with Blair and Worldlog, and Blair still had control of the ucmchs.com email domain despite repeated requests from UCM management for Blair to release control of the email domain, so Blair and Worldlog were still able to track the shipment. (*Id.*, ¶ 11.) Once the shipment arrived, Worldlog then contacted ONE and arranged for pickup of the cargo, presumably under the false representation that they were still affiliated with UCM and operating under UCM’s NVOCC license, given that UCM was the only Consignee listed on the Master Bill of Lading and the Arrival Notice. (*Id.*) On or around June 3, 2025 a trucking company hired by Worldlog picked up the shipping containers. (*Id.*) Worldlog’s misrepresentations and deceptive conduct with customers continue to this day, and are the focus of UCM’s claims against Worldlog and Blair in UCM’s pending federal court action. (*Id.*)

B. Procedural Background

On April 3, 2025, UCM filed an action in federal court against Blair and Worldlog.² The claims in the UCM Action complaint relate to Blair, a former employee of UCM and branch

² *United Cargo Management, Inc. v. Blair et al.*, No. 2:25-cv-03588, in the Central District of California (“UCM Action”) (Declaration of Colin McGrath (“McGrath Decl.”), Ex. 1).

manager of UCM's Charleston office, misappropriating UCM's name, goodwill, trade secrets, and corporate information to steal UCM's clients and their payments. On April 24, 2025, Blair and Worldlog filed an action against UCM, UCM President Thomas Lee and UCM Vice-President Jeff Lee.³ In their Complaint, Blair and Worldlog allege that they had been operating UCM's Charleston office as part of an alleged joint venture with UCM, the same as they allege in this action.

On May 5, 2025, Blair and Worldlog filed a motion to dismiss the UCM Action for lack of personal jurisdiction or, in the alternative, to transfer venue to the United States District Court for the District of South Carolina under 28 U.S.C. § 1404(a). On May 16, 2025, the Court granted the motion to transfer venue under Section 1404(a) and transferred the UCM Action to the United States District Court for the District of South Carolina. (McGrath Decl., ¶ 4.)

On May 23, 2025, UCM, Thomas Lee and Jeff Lee filed a notice of removal removing the Blair/Worldlog Action to the United States District Court for the District of South Carolina. (McGrath Decl., ¶ 5.) On August 19, 2025, UCM filed a First Amended Complaint in the UCM Action ("UCM FAC") and Plaintiffs Blair and Worldlog filed a First Amended Complaint against Worldlog, Jeff Lee and Thomas Lee in the Pending Blair/Worldlog Action. (McGrath Decl., Exs. 3, 4.) Blair and Worldlog filed a Second Amended Complaint ("Federal Blair/Worldlog SAC") in the Blair/Worldlog Action on June 6, 2026. (McGrath Decl., Ex. 5.)

On February 17, 2026, Blair and Worldlog filed a similar action in South Carolina State Court against UCM employee Robert Gierszal. (McGrath Decl., Ex. 6.) Blair and Worldlog filed a First Amended Complaint against Mr. Gierszal on May 22, 2026. (McGrath Decl., Ex. 7.) Mr.

³ *Worldlog, LLC v. United Cargo Mgmt., Inc.*, No. 2025-CP-10-02375 (S.C. Ct. Com. Pl. Charleston Cnty. Apr. 24, 2025) ("Blair/Worldlog Action") (McGrath Decl., Ex. 2).

Gierszal has filed a motion to dismiss the complaint, or in the alternative, stay the proceedings while the federal actions remain pending. (McGrath Decl., ¶ 11.)

LEGAL STANDARD

The Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for Motions to Dismiss, but Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules to the extent that the application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12.

"In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rules of Civil Procedure 12(b)(6) and the federal case-law interpreting it." *Cornell v. Princess Cruise Lines, Ltd.*, FMC Dkt. No. 13-02, 2014 WL 5316340, at *6 (FMC Aug. 28, 2014) (citing *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt. No. 09-01, 2011 WL 7144008, at *11 (FMC, Aug. 1, 2011)); *see also* *MAVL Capital Inc. v. Marine Transp. Logistics, Inc.*, FMC Dkt. No. 16-16, 2020 WL 6445041, at *5 (FMC, Oct. 29, 2020) (stating that the Commission looks to Rule 12(b)(6) when considering dismissals for failure to state a claim). The Commission ruled in *Mitsui* that

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to "state a claim to relief that is plausible on its face." *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). ... The complaint must be sufficient to "give the defendant fair notice of what the ... claim is and the grounds upon which it rests." *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)); *see also* 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* §1215 (3d ed. 2010) ("[T]he test of a complaint's sufficiency simply is whether the document's allegations are detailed and informative enough to enable the defendant to respond.").

Mitsui, 2011 WL 7144008 at *12. Thus, a "pleading that offers 'labels and conclusions' or 'a formulaic recitation of the elements of a cause of action will not do.'" *Ashcroft v. Iqbal*, 556 U.S.

662, 678 (2009) (citing *Twombly*, 550 U.S. at 555). And “[t]he Commission need not ...accept any inferences drawn by Complainants that are unsupported by the facts pleaded in the complaint. Moreover, the Commission need not accept legal conclusions cast in the form of factual allegations.” *Cornell*, 2014 WL 5316340, at *7.

The Complaint does not meet the foregoing standard. Respondent respectfully requests that the Commission grant this motion to dismiss.

ARGUMENT

The Commission should dismiss the complaint because neither Blair nor Worldlog has standing to bring their claims under the direct purchaser rule. All of the shipping contracts at issue were UCM’s contracts and used UCM’s NVOCC license. Further, Worldlog’s complaint fails to allege sufficient facts to state a claim against UCM for violation of Sections 41102(d), 41103, and 41104(a)(4)(E) of the Shipping Act, and Worldlog’s claim under Section 515.31(e) of the Commission’s regulations does not allege a Shipping Act violation, as required under 46 C.F.R. § 502.62(a)(3)(v).

I. WORLDLOG LACKS STANDING TO BRING ITS CLAIMS UNDER THE DIRECT PURCHASER RULE.

As an initial matter, Worldlog lacks standing to assert any claim against UCM under the Shipping Act because it was not a purchaser of any carrier services from UCM or a party to any of the customer agreements allegedly at issue.

Any person is entitled to file a complaint alleging a violation of the Shipping Act of 1984, 46 U.S.C. § 41301(a), however, only a complainant that is a first-line direct purchaser of carrier services that suffers actual injury as a result of the violation has standing to seek reparations. 46 U.S.C. § 41305(b). The “direct purchaser rule” was explained in the Commission’s decision in the case of *In Re Vehicle Carrier Services*, Dockets 16-01, 16-07, 16-10, and 16-11 2019 WL

5558120, at *6-*7 (FMC Oct. 21, 2019) (applying the direct purchaser rule to find that complainants who did not allege that they directly purchased services from respondents lacked standing to sue). In *Vehicle Carrier Services*, the FMC said:

In the 80 years since the Shipping Board held that a respondent could not rely on a pass-on theory to avoid liability to a complainant for reparations, the Commission has repeatedly found that a complainant cannot rely on a pass-on theory for overcharges. In numerous decisions, the Commission has ruled that only the party who actually paid the carrier (or the valid assignee of the payor) can sue for reparations. *Gov't of Guam*, 29 S.R.R. at 902, 908-909, 2002 FMC LEXIS 16 at *58-59 (striking consignee's reparations claim because it was not the direct payor or assignee); *Cal. Cartage v. Pac. Mar. Ass'n*, 23 S.R.R. 420, 427 (FMC 1985); *Sanrio, Inc. v. Maersk Line*, 19 S.R.R. 907 (ALJ 1979) (denying consignee's claim for overcharges allegedly passed along to it); *Trane Co. v. South African Marine*, 19 F.M.C. 375, 378 (ALJ 1976); *Carton-Print v. Austasia Container Express*, 17 S.R.R. 571, 575 (ALJ 1977).

2019 WL 5558120 at *6. The Commission further noted its high standard for proof that the Complainant “actually paid the carrier”:

Even in applying the direct purchaser rule, the Commission follows strict proof requirements. Complainants can recover only if they introduce evidence that they **actually paid the carrier or received an assignment from someone who did.** *Gov't of Guam*, 29 S.R.R. at 908-09, 2002 FMC LEXIS at *36-42. Incomplete records, mere allegations, or general business practices or relationships are not sufficient proof. *See id.* Consistent with the direct purchaser rule, the Commission's regulations require reparation statements to identify “the person paying charges in the first instance.” 46 C.F.R. § 502.252 Ex. No. 1.

2019 WL 5558120 at *6 (emphasis added).

Here, Worldlog not only fails to meet the bar to be a direct purchaser, it is not a purchaser at all. As detailed above, Worldlog is not a party to any of the relevant customer agreements. And, even if it were, Worldlog's claims allege losses or damages suffered by customers, not Worldlog. Specifically, the Complaint alleges that UCM:

- Engaged in “campaigns to harass, annoy, and cause damage to customers who decided to stay with [Worldlog].” (Complaint, ¶ 22 (emphasis added));

- Invoiced customers “for ocean freight knowing that those customers had already paid freight” (Complaint, ¶ 22(a) (emphasis added));
- Billed “customers a total of \$690,132.85, for ocean freight and related charges since early May 2025, despite the fact that those charges were paid by [Worldlog] to ocean carriers and other vendors” (Complaint, ¶ 36 (emphasis added);
- “WCM suffered reputational and monetary damages to the extent it is exposed to claims by shipper-customers who may claim damages against WCM for double payment of freight charges if they must pay UCM for the same ocean freight charges paid to WCM.” (Complaint, ¶ 37 (emphasis added))
- “UCM has engaged in unfair and unjustly discriminatory practices with respect to the adjustment and settlement of claims, specifically by withholding release of shipments belonging to a shipper who decided to stay with WCM” (Complaint, ¶ 40; see also ¶ 44) (emphasis added).

The allegations quoted above serve as the basis for several of Worldlog’s claims in the Complaint, but even if true, they are claims belonging to others, not Worldlog. Accordingly, Worldlog lacks standing to bring several of its claims against UCM including 46 U.S.C. §§ 41103, 41102(d), and 41104(a)(4)(E), and the Complaint should be dismissed in its entirety.

II. WORLDLOG HAS NOT PLED SUFFICIENT FACTS TO ESTABLISH ANY OF ITS CLAIMS.

A. Count I: 46 U.S.C. § 41103 (Disclosure of Information)

46 U.S.C. § 41103(a) provides that:

“A common carrier, marine terminal operator, or ocean freight forwarder, either alone or in conjunction with any other person, directly or indirectly, may not knowingly disclose, offer, solicit, or receive any information concerning the nature, kind, quantity, destination, consignee, or routing of any property tendered or delivered to a common carrier, without the consent of the shipper or consignee,

if the information--may be used to the detriment or prejudice of the shipper, the consignee, or any common carrier; or may improperly disclose its business transaction to a competitor.” (emphasis added).

Worldlog’s Complaint fails to state a violation of Section 41103(b) because Worldlog does not and cannot allege that Worldlog was the “shipper or consignee” of any of the property or cargo at issue. To the contrary, Worldlog admits that “[u]nder the UCM-WCM Agreement WCM, on behalf of UCM—the FMC licensed OTI—negotiated all ocean carrier service contracts and made minimum quantity commitments (“MQC”) on behalf of UCM.” (Complaint, ¶ 9).

Worldlog further admits that UCM did not agree to Worldlog’s proposed “Transition Agreement”, in which Worldlog proposed that, effective May 1, 2025, Worldlog would assume responsibility for relationships with UCM customers who expressed via email their decision to conduct business with Worldlog. (*Id.*, ¶¶ 17-18, 20.) All of Worldlog’s claimed carrier service contracts and MQCs were made on behalf of UCM—in other words, for UCM’s customers. That situation never changed.

The Complaint fails to allege that Worldlog was a shipper or consignee of any property or cargo at issue in the Complaint, and therefore Worldlog’s claim under Section 41103 fails.

B. Count II: 46 U.S.C. § 41102(d) (Retaliation).

46 U.S.C. § 41102(d) provides:

A common carrier, marine terminal operator, or ocean transportation intermediary, acting alone or in conjunction with any other person, directly or indirectly, may not—

(1) retaliate against a shipper, an agent of a shipper, an ocean transportation intermediary, or a motor carrier by refusing, or threatening to refuse, an otherwise-available cargo space accommodation; or

(2) resort to any other unfair or unjustly discriminatory action for--

(A) the reason that a shipper, an agent of a shipper, an ocean transportation intermediary, or motor carrier has--

- (i) patronized another carrier; or
 - (ii) filed a complaint against the common carrier, marine terminal operator, or ocean transportation intermediary; or
- (B) any other reason.

46 U.S.C. § 41102(d).

Worldlog’s claim under Section 41102(d) fails because the Complaint does not allege any retaliatory conduct directed at Worldlog. The Complaint alleges that UCM targeted “customers who remained with WCM” by issuing “invoices for freight and related charges” to unidentified “WCM customers” even though Worldlog allegedly had already paid those charges on the customers’ behalf. (Complaint, ¶¶ 34-36.) But even if the allegations were true (and they are not), the alleged retaliation was directed at “customers who remained with” Worldlog, not Worldlog itself. Worldlog admits the indirect and speculative nature of its claim in its description of the alleged damages, which obviously have not yet occurred and might arise in the future only if the actual targets of the alleged retaliation—i.e., its customers—“claim damages against WCM for double payment of freight charges if they must pay UCM for the same freight charges paid to WCM.” (Complaint, ¶ 37.) Additionally, these were UCM customers (Lee Decl., ¶ 3), and UCM obviously is entitled to send invoices to its own customers, regardless of Worldlog’s efforts to interfere with and steal UCM’s customer relationships.

Further, UCM is not alleged to have refused, or threatened to have refused, available cargo space, nor resorted to any other unfair or unjustly discriminatory action. Rather, the Complaint alleges a factual dispute over the rightful recipient of freight payments. (Complaint, ¶¶ 9-14, 20, 34-37).

Accordingly, Worldlog’s Section 41102(d) claim should be dismissed.

C. Count III: 46 U.S.C. § 41104(a)(4)(E) (Unfair or Unjustly Discriminatory Practice in the Adjustment or Settlement of Claims)

46 U.S.C. § 41104(a)(4)(E) prohibits a common carrier from engaging in any unfair or unjustly discriminatory practice in the matter of adjustment and settlement of claims. Here, Worldlog's allegations are again a variation of the factual dispute over the proper recipient of freight payments.

In addition to not being the directly-affected party, Worldlog does not allege a practice. It alleges on "information and belief" that shipments belonging to a single shipper were not released in connection with disputed invoices (Complaint, ¶¶ 40, 43). This does not constitute a practice, which is generally understood to be an act or omission occurring on a normal, customary, and continuous basis⁴, and amounts to nothing more than UCM legitimately invoicing its own customer.

Additionally, Worldlog's claim that UCM's filing of its federal complaint in the U.S. District Court for the Central District of California against Worldlog constitutes discriminatory practices under Section 41104(a)(4)(E) (Complaint, ¶ 41) is barred under the litigation privilege. See Cal. Civ. Code § 47(b) (any publication or broadcast made in a judicial proceeding is privileged); *Mireskandari v. Gallagher*, 59 Cal.App.4th 346, 365-366 (2020) (litigation privilege under Cal. Civ. Code § 47(b) "applies to any communication (1) made in judicial or quasi-judicial proceedings; (2) by litigants or other participants authorized by law; (3) to achieve the objects of the litigation; and (4) that have some connection or logical relation to the action").

Worldlog's claim is also barred under the *Noerr-Pennington* doctrine. In *Sosa v. DIRECTV, Inc.*, the Ninth Circuit stated that "in the litigation context, not only petitions sent directly to the court in the course of litigation, but also 'conduct incidental to the prosecution of the suit' is protected by the *Noerr-Pennington* doctrine." 437 F.3d 923, 934-35 (9th Cir. 2006).

⁴ 46 C.F.R. § 545.4 (b); See also footnote 1.

The Ninth Circuit further cautioned that “[u]nder the *Noerr-Pennington* rule of statutory construction, we must construe federal statutes so as to avoid burdening conduct that implicates the protections afforded by the Petition Clause unless the statute clearly provides otherwise.” *Id.* Other courts have routinely immunized litigation and threatened litigation under this doctrine. *See, e.g., PrimeTime 24 Joint Venture v. Nat’l Broadcasting Co.*, 219 F.3d 92 (2d Cir. 2000) (presuit challenges to signal strength determinations by satellite broadcasters within *Noerr-Pennington* doctrine’s protections). And “[t]his immunity extends to persons who petition all types of government entities — legislatures, administrative agencies, and courts.” *Cheminor Drugs, Ltd. v. Ethyl Corp.*, 168 F.3d 119, 122 (3d Cir. 1999). Thus, UCM’s filing of its federal complaint against Worldlog in response to Worldlog’s efforts to steal UCM’s customers is precisely the type of litigation-related activity that is protected by the *Noerr-Pennington* doctrine.

Accordingly, Worldlog fails to allege facts sufficient to support a claim under Section 41104(a)(4)(E).

D. Count IV: 46 C.F.R. § 515.31(e) (False Information in Connection with an OTI Transaction)

46 C.F.R. § 515.31(e) is a regulation promulgated by the Commission; not a Shipping Act violation, as required under 46 C.F.R. § 502.62(a)(3)(v), or a violation of a Commission order under 46 U.S.C. § 42104. Further, the Complaint contains no specific allegations of false or fraudulent statements (knowingly or unknowingly) made by UCM; in particular, none regarding any ocean transportation intermediary (“OTI”) transaction. Rather, Worldlog alleges that false or disparaging information regarding Worldlog and its principals is being shared (Complaint ¶ 47); not an OTI transaction. Accordingly, this claim should be dismissed.

E. *Worldlog’s Allegations Regarding Registration of Branch Offices and Trade Names Fail to State a Claim.*

Though not enumerated as a separate Count, the Complaint also does not allege sufficient facts that support Worldlog’s allegation that UCM is in violation of the rules regarding registration of branch offices (46 C.F.R. § 515.20(e)) or trade names.

Worldlog does not allege any specific facts regarding UCM’s South Carolina or New York offices, but Worldlog does not and cannot allege that UCM’s offices in South Carolina or New York perform OTI services. UCM performs OTI services under United Cargo Management, FMC License No. 007305, through its corporate headquarters in Norwalk, California (Complaint, ¶ 2).

Regarding trade names, Worldlog does not allege that UCM operates under any “trade names” other than United Cargo Management, Inc. (Complaint, ¶ 50.) Accordingly, Worldlog’s claims for violations of FMC regulation 515.20(e) fail and should be dismissed.

III. IN THE ALTERNATIVE, THE PROCEEDING SHOULD BE STAYED.

If the Complaint against UCM is not dismissed in its entirety, this proceeding should be stayed pending the resolution of the UCM Action and the Blair/Worldlog Action in the U.S. District Court for South Carolina, and Blair and Worldlog’s action against Mr. Gierszal in South Carolina state court, each of which involve the same operative set of facts and allegations as Worldlog’s Shipping Act Complaint.

The Commission has previously stayed proceedings before it to allow for the resolution of previously filed federal court actions. *See, e.g., General Motors LLC v. Nippon Yusen Kabushiki Kaisha, et al.*, Dkt. No. 15-08, 2016 WL 240785, at *3 (FMC, Jan. 5, 2016). *General Motors* applied the same factors that federal courts consider when staying a federal case pending the outcome of a related state court matter, namely: “which court first assumed jurisdiction, the

inconvenience of the federal forum, the desirability of avoiding piecemeal litigation, whether state or federal law provides the rule of decision on the merits, the adequacy of the state court to protect the parties' rights, and whether one of the actions has a vexations or reactive nature." *Id.*, at 2 (quoting *Profile Mfg., Inc. v. Ronald Kress*, 1994 U.S. App. LEXIS 6048, at *7 (Fed. Cir. 1994). Here, these criteria all favor staying this proceeding pending resolution of the Pending Federal Court Actions and the Pending State Court Action.

All of the claims asserted in Worldlog's Shipping Act complaint arise from the same allegations and the same nexus of fact already at issue in the pending federal court actions and the state court action. The factual questions and legal issues that Worldlog must prove to prevail before the Commission are the very questions and issues being litigated in those courts, and several of them are subject to counterclaims brought by UCM in the Blair/Worldlog Action. The amended complaint Worldlog has since filed only increases the overlap between the Shipping Act complaint and the pending actions. The federal district court and state court first assumed jurisdiction over these claims and are adequate to protect the parties' rights. Thus, both of those criteria favor allowing the federal proceedings to move forward first. The federal and state fora are not inconvenient, as the parties are already litigating there (including two proceedings initiated by Complainants). A stay will also prevent duplicative proceedings and the risk of inconsistent rulings on questions that the federal and state courts will decide first.

The relationship between Worldlog and UCM is at the heart of the pending federal court actions. First, the threshold question as to whether the customers at issue were Worldlog customers or UCM customers under the applicable customer contracts is squarely presented in the Pending Federal Court Actions. (See, e.g., Blair/Worldlog SAC (McGrath Decl., Ex. 5) ¶¶ 78-98; UCM FAC (McGrath Decl., Ex. 3) ¶¶ 102-17, 132-43, 177-86). The Commission cannot adjudicate

Worldlog's claims without first resolving this contract-ownership question, which the federal court is already positioned to decide. Second, whether Worldlog had legal authority to operate independently of UCM with respect to the customers in question is also presented in the federal action. In fact, Blair has admitted in the federal action that he was an employee of UCM (*see* Blair/Worldlog SAC (McGrath Decl., Ex. 5) ¶¶ 13, 16, 17, 18, 120), and he brings employment claims against UCM in that same action, claims that cannot be reconciled with Worldlog's assertion that it has legal authority to operate independently during the relevant period. Whether Worldlog had the legal authority to take on these customers as its own is thus a core issue that must be resolved first in the federal action.

Third, whether Worldlog's alleged contracts with the customers in question were the product of false, misleading, or fraudulent communications designed to deceive customers into believing that Worldlog would continue to be affiliated with UCM is at issue in the federal court actions. (*See, e.g.*, Blair/Worldlog SAC (McGrath Decl., Ex. 5) ¶¶ 59, 78-98; UCM FAC (McGrath Decl., Ex. 3) ¶¶ 78-101, 207-14). That question of misrepresentation is at the heart of UCM's counterclaims in the Blair/Worldlog Action and cannot be resolved by the Commission independently of the courts' determination of the same conduct.

Fourth, the success or failure of Worldlog's Shipping Act claims are inextricably intertwined with the factual question of whether Worldlog's alleged customer relationships or agreements were the product of Worldlog's unauthorized use of UCM's trademarks and theft of UCM's trade secrets, in violation of trademark law. UCM's trademark claims are pending in the UCM Action, and the validity of any contracts Worldlog obtained through infringing use of UCM's marks is a question the federal court will decide. (*See* UCM FAC (McGrath Decl., Ex. 3) ¶¶ 78-101, 207-14).

Because each of these factual questions and legal issues is already being litigated in the federal court actions and the state court action, Worldlog's Shipping Act complaint cannot be adjudicated without the risk of interfering with matters already committed to those courts. Allowing this proceeding to advance in parallel would be unnecessarily duplicative and could lead to inconsistent findings on identical operative facts, and would likely be a waste of the parties' and the Commission's resources. However, once the above facts are adjudicated in the federal court actions, UCM intends to file a Shipping Act complaint against Worldlog based on Worldlog's unlawful conduct described above and intends to request revocation of Worldlog's license and all other appropriate sanctions and remedies.

IV. CONCLUSION.

For the reasons stated above, Respondent UCM respectfully requests that the Commission dismiss the Complaint in full, with prejudice.

Alternatively, if the Complaint is not dismissed in its entirety, Respondent UCM respectfully requests that this proceeding be stayed pending resolution of the Federal Court Actions presently pending in the U.S. District Court for South Carolina.

Dated: June 10, 2026

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

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